

ARCHITECT-ENGINEER DESIGN SCOPE OF WORK
REPAIR USP 800 AC-59
CENTRAL VIRGINIA VA HEALTH CARE SYSTEM
RICHMOND VA MEDICAL CENTER

PROJECT NUMBER: 652-25-111

PROJECT TITLE: Repair USP 800 AC-59

AE PERIOD OF PERFORMANCE: 546 days after contract award.

DESIGN TIME FRAME: 121 calendar days after contract award.

CONSTRUCTION SOLICITATION PERIOD: 60 days

CONSTRUCTION TIME FRAME (CPS): 365 days

The Contractor shall evaluate the existing AHU 59, confirm its current functional support of the existing Pharmacy spaces it serves, to identify if the existing areas are supported according to VA requirements, to identify the areas that are not supported and to generate a design plan for how to bring AHU 59 functions to be compliant with current requirements for the identified existing Pharmacy spaces served by the unit. The contractor will assess if the current AHU configuration can meet design specifications of the space it's serving and provide their recommendations to include but not limited to the following specific tasks.

The estimated magnitude of construction for this project is currently between \$500,000 and \$1,000,000.

1. Specific Tasks.

- Verify design parameters of AHU 59 and associated room temp, humidity, supply and exhaust CFM's.
- Verify steam humidifier and associated components are correct and sized properly, i.e.- pumps, tanks, filters etc.
- Determine if new Glycol Coil capable of providing 35-40 degrees Fahrenheit down duct temperature and 30-60% RH in space in place of current Chill Water Coil is required.
- Work with the VA's control contractor to ensure all controls are compatible with Metasys controls.
- Confirm existing space sensors are adequate and do correctly average space Temp./Humid to control space conditions.
- Conduct design progress meeting per the schedule.
- Confirm through operational test and documentation that any/all changes, implements and/or new installations meet or exceed design specs for the room(s) served by AHU 59.

SCOPE OF PROJECT

A. Project Overview

The scope of this project involves the evaluation of the air handler system (AHU) requirements for a pharmacy area and the existing spaces the system supports; to test/evaluate the existing AHU 59 and its complete system (supply/return/controls) for current function; to determine what issues are identified in the system in its performance to meet the existing requirements for the pharmacy; and to determine the required changes/fixes required to bring the existing AHU system/functions into required ranges to perform/meet the requirements if they are not determined to be.

B. Project Objectives

- Objective 1 Evaluation/Testing of the existing AHU, its existing system ducts, system controls and its performance in supporting the requirements of the spaces it serves.
- Objective 2 To determine what areas or parts of the system are not supporting the requirements and to design the resolution to fix the current system to enable it to meet the requirements of those existing spaces.
- Design shall incorporate a minimum of 10% of the construction budget as deductive alternatives. Each alternate shall be progressively deductive in nature and shall be non-scope impacting.
- A/E shall conform to the VA Information Security requirements, located in Attachment A, outlining the contractor's requirement to protect VA information and VA information systems.

C. Site Assessment

- Conduct a thorough assessment of the current operations of the system, determine the system operation performance in comparison with what is required for the spaces supplied/supported, and identify failures found in the system and what those were in the system performance.
- As-built documentation of the existing facility will be provided, however the A/E is responsible for verifying all as-built conditions.
- Evaluate structural, electrical, mechanical, and architectural requirements for the existing space to understand the required functions of the spaces the existing AHU was designed to support.

D. Objective 1 Design

- Identify the areas of the current system's operations that are not meeting the requirements for the spaces and specify what those issues are per VA Design specifications.

E. Objective 2 Design

- Determine what changes/equipment (ex: programing, new sensors, new duct work, new equipment) are required to be made to the existing system to support the spaces per the requirements of each supported space, including estimated construction cost/timeline.

SCOPE OF WORK FOR A/E

A. General Requirements

The A/E firm shall provide all required labor, materials and equipment necessary to perform the requirements in this scope of work as defined by the Scope of Project. This shall include, but not limited to, site investigations, developing design/construction documents and specifications, providing construction period services and requested site visits, commissioning services, and any other supplementary services.

B. Commissioning Agent

The A/E shall provide Independent Commissioning Agent to provide services in accordance with VA Whole Building Commissioning Process Manual and VA specifications throughout the design and construction periods. The Commissioning Agent shall provide all labor, materials and instrumentation required to complete the scope of work. Commissioning activities shall include all appropriate work tasks necessary to commission new equipment as well as connections to existing supporting mechanical, electrical and plumbing systems.

C. Site Investigation and Schematic Design (SD)

The A/E shall make investigations as necessary to thoroughly evaluate the defined project area. The A/E firm shall:

- a. Request and review all as-built documents and verify as-built conditions within the projects area. This shall be accomplished with coordinated site visits.
- b. The A/E shall conduct an on-site survey for the following to determine the current HVAC system operations (pre tab, controls programing review/confirmation, existing facility supply/support system feeds) and required changes in a manner that will minimize impact on existing operations:
 - i. Electrical
 - ii. Heating Water
 - iii. Chilled Water
- c. The A/E shall provide an investigation report of the findings complete with system drawing diagram showing the location of the problems identified. This will constitute a

schematic design (SD - 15%) submission for VA review which shall lay out a minimum of two (2) options for consideration to resolve the issues identified.

D. Design Development (DD)

The A/E shall make investigations necessary to thoroughly evaluate the project area. All designs shall be in accordance with "Minimum Requirements for A/E Submissions Instructions for Minor & NRM Construction Program PG-18-15 Volume C. The A/E firm shall:

- a. Meet with Engineering, and other project stakeholders prior to start of design to determine detailed requirements of work involved.
- b. Work from existing building and site drawings furnished by the VA and the selected conceptual design to develop project design. (Existing condition drawings are to be used only as guidelines.)
- c. Perform any necessary on-site field investigations to accomplish work and to verify drawings provided by the VA.
- d. Prepare rough sketches and concept drawings, as necessary, to solve possible problems in design throughout the contract.

E. Construction Documents (CD)

After the VAMC approves the A/E's design development the A/E shall:

- a. Complete further investigations necessary to develop selected item into working drawings and specifications for issuance through the competitive bid process.
- b. Prepare construction documents necessary to accomplish the approved design development.
- c. In most instances, copies of the VA Master Construction Specifications will be available off the Internet (<https://www.cfm.va.gov/til/>), which will be edited and incorporated in the project specifications. In those instances where copies of the VA Master Construction Specifications are not available, the A/E shall develop the specification for incorporation into the project specifications. Copies of design guides, space criteria, room finishes, and other VA guidelines are also available at (<https://www.cfm.va.gov/til/>).
- d. Working drawings and specifications shall provide for construction within the National Fire Protection Association Code, VA Standards, and other national codes.

- e. The working drawings and specifications shall provide for the removal of any and all asbestos containing materials. Removal shall be in accordance with VA, EPA, and OSHA standards.
- f. Based on the findings of the work performed by the Industrial Hygienist as part of the design development, it may be necessary to remove asbestos containing materials or other hazardous materials. If so, the A/E shall employ the services of a CIH to develop plans and specifications for removal in accordance with VA, EPA, OSHA standards.
- g. An independent professional cost estimator shall be used by the A/E for all construction cost estimates.

F. As Built Drawings

- a. A/E firm shall provide a clause in the specifications indicating method by which a contractor will provide information to the firm to allow the firm to provide as-built drawings upon completion of construction. As-built drawings shall not only cover work involved in the construction but shall also cover existing adjacent areas as defined within the scope of the preliminary survey.
- b. A/E firm shall submit a complete set of drawings on CD or via digital download using AutoCAD Release 2022. Layering shall be per VA CAD/BIM Standards. The A/E firm shall also provide, if used by the A/E Firm, AutoCAD Revit files of the completed design.

G. Construction Period Services

Upon award of the construction contract associated with this project, the A/E firm shall provide construction period services to allow the VA to supervise the contract on a daily basis with adequate support from the A/E firm. The items of support shall include, but not be limited to:

- a. Review of all technical submittals, shop drawings and other technical correspondence.
- b. Provide advice and consultation on questions raised by the VA or the contractor on technical matters.
- c. Provide sketches and cost estimates as necessary.
- d. A/E firm shall provide adequate representation at all pre-bid and pre-construction conferences to answer questions from contractors and inform them of technical items which should be brought to their attention for a complete job.
- e. Provide services for submittal and document exchange using a commercially available construction document management system (e.g. Procore, Submittal Exchange, Newforma, etc.) for the duration of the construction and 1 year following the completion of the construction.

H. Construction Period Site Visits

- a. Visits resulting from errors and omissions in the design will be a not cost to the VA.
- b. Participate in partial and final inspections as scheduled and generate punch lists for completion.
- c. A/E firm shall provide representatives to make periodic site visits during the construction to provide additional support to the VA in managing the contract.
- d. General Requested Site Visits shall consist of one person for a 1-day site visit and shall be at a fixed cost per site visit.
- e. Final Inspection and Follow-up site visits shall each consist of five persons for a 1-day site visit.
- f. The A/E firm shall price three (3) General Requested Site Visits during construction activities, One (1) Final inspection with (1) One Follow-Up inspection at completion of project.
- g. Formal documentation will be required for all site visits. Final inspection reports will be prepared by the A/E firm and submitted to the VA for issuance to the contractor. Record of site visits will be in accordance with, Special Provisions of the Contract.

I. Functional End Product

It is important to emphasize that the A/E shall perform design development to include detailed design work to prepare detailed construction documents with the end results as a completely functional and fully operational product.

J. Promotion of Full and Open Competition

- a. A/E agrees to assure specifications are not restrictive. Specifications will be based performance criteria when possible and will not use brand names.
- b. If an occasion arises that use of a brand name is necessary, the A/E will provide a justification including:
 - i. Why the particular brand must be used or why a performance specification cannot be written (Proprietary design, etc.)
 - ii. The criteria of alternate items that must be met to be considered equal.
- c. In the event it is necessary to pre-qualify major components the A/E will advise the Contracting Officer of such, so that the necessary action can be taken to establish a Qualified Products List.

In addition to requirements of the special provisions, a certification will be provided stating the solicitation is not restrictive; it has been written to provide full and open competition;

and will list at least three manufacturers who can supply major components or systems of the project.

Schedule For Design Development and Construction Documents

The AE shall submit review packages, so they are received on the day noted in the schedule below.

Submission Requirement	Tasks/Submissions Schedule	Duration Calendar Days	Completion Date - Calendar Days after NTP
A	Initial Investigation - Submit Findings/15% SD	48 days	48 days
	IPT (SD) Review	14 days	62 days
	Schematic (SD) 15% Design (2 options) Meeting/Charrette	1 day	63 days
B	Design Development (DD) 35% -65% Design	14 days	77 days
	IPT (DD) Review	14 days	91 days
	35%-65% Review Meeting/Presentation	1 days	92 days
C	Construction Documents (CD) 95% -100% Design	14 days	106 days
	IPT (CD) Review	7 days	113 days
	95%-100% review meeting	1 day	114 days
D	FINAL Construction Bid Documents (BD)	7 days	121 days

Submission Requirement A

Schematic Design Submission Requirements (SD–15%)

The AE shall deliver the following (labeled with Schematic Design) and include this attachment as a checklist with your submission:

- ☐ **3 copies** evaluation/investigation narrative addressing items listed in the design requirements and any additional AE recommendations for each of the two proposed solutions.
- ☐ **3 half size sets** of architectural floor layouts for each of the three proposed layouts being considered based on space required and VA space criteria. Make a recommendation on the most efficient and effective floor layout and the reasons for the preference. Show equipment to be used in each room/area.
- ☐ **1 copy** of the preliminary cost estimate for each option being considered.
- ☐ **1 CD or digital download containing:**
 - ☐ All drawings in AutoCAD and pdf format
 - ☐ Narrative report in pdf format
 - ☐ Electronic copy of preliminary cost estimate
 - ☐ PG-18-15, Volume C checklists, completed and signed.
 - ☐ Design review checklists completed and signed.

Submission Requirement B

Design Development Submission Requirements (DD-35%-65%)

The AE shall deliver the following (labeled with 35% -65% submission) and include this attachment as a checklist with your submission:

- ☐ **3 copies** of an updated narrative report reflective of the government decision/direction on the 15% submission addressing items listed in the design requirements and any additional AE recommendations. The report should include identifying potential bid deduct alternatives, recommended construction phasing based upon discussions with COR, and any design calculations or analysis.
- ☐ **3 half size and 1 full size set** of all drawings (blueline copies) required by project, produced on Auto CAD software.
- ☐ **2 copies** of updated cost estimate.
- ☐ **2 copies** of custom edited VA Master Specification to be used for this project and a master submittal list identifying all the submittals required to be submitted by the contractor for review. The list shall be organized by division and specification and include submittals, certifications, shop drawings, tests, samples and inspections required per drawing and specification section.
- ☐ **2 copies** of completed environmental sampling reports.
- ☐ **1 copy of each color board** showing the interior design scheme (fabrics, finishes, furniture layout and plans) for each area, east west and center, include an inventory of materials/manufactures recommended for use for approval and prepared for order by the VA Interior Designer. This information should also be submitted on a spreadsheet for use during submittals (color, manufacturer, item number, etc.). The color, name and all applicable identifying numbers shall be placed on the board and be easily read without removing the physical samples. Should be 85% complete
- ☐ **1 CD or digital download containing**
 - ☐ All drawings in AutoCAD and pdf format
 - ☐ All specifications in Microsoft Word and pdf format
 - ☐ Narrative report in pdf format
 - ☐ Electronic copy of cost estimate
 - ☐ PG-18-15, Volume C checklists, completed and signed
 - ☐ Design review checklists completed and signed.
 - ☐ Checklist of all submittals, certifications, tests, and inspections in an Excel spreadsheet format.
 - ☐ All design related calculations.

Submission Requirement C

Construction Document Submission Requirements (CD1– 95% -100%)

The AE shall deliver the following (labeled with 95% submission) and include this attachment as a checklist with your submission:

- ☐ **3 copies** of a narrative report forwarding the design developed 65% submission addressing items listed in the design requirements and any additional AE recommendations. The report should include identifying potential bid deduct alternatives, recommended construction phasing based upon discussions with COR, and any design calculations or analysis.
- ☐ **3 half size and 1 full size set** of all drawings (blueline copies) required by project, produced on Auto CAD 2016 software.
- ☐ **2 copies** of updated cost estimate.
- ☐ **2 copies** of custom edited VA Master Specification to be used for this project and a master submittal list identifying all the submittals required to be submitted by the contractor for review. The list shall be organized by division and specification and include submittals, certifications, shop drawings, tests, samples and inspections required per drawing and specification section.
- ☐ **1 copy of construction plan** showing temporary conditions for construction, per phase, to ensure general conditions, life safety and infection control requirements are designed, identified, and specified.
- ☐ **1 CD or digital download containing**
 - ☐ All drawings in AutoCAD and pdf format
 - ☐ All specifications in Microsoft Word and pdf format
 - ☐ Renderings in full size pdf format
 - ☐ Narrative report in pdf format
 - ☐ Electronic copy of cost estimate
 - ☐ PG-18-15, Volume C checklists, completed and signed
 - ☐ Design review checklists, completed and signed.
 - ☐ Checklist of all submittals, certifications, tests, and inspections in an Excel spreadsheet format.
 - ☐ All design related calculations.

Submission Requirement D

Construction Bid Document Submission Requirements (BD)

The final design documents shall be sealed and signed by the design professional responsible/liable for the design represented in the respective document. The seal and signature shall conform to laws and requirements for the application of seals and signatures for professionals in the state or region in which the person taking liability for the work is registered. Any errors found on the sealed set are subject to revision and resubmission by the AE at no cost to the Government.

The final design documents shall be 100% complete and free of all formatting and grammatical errors. All used sections shall be included in the documents and correctly listed in the table of contents, and all references to unused sections and spec writer notes shall be removed.

- ☐ **1 full size set** of sealed contract drawings (complete with VA signed coversheet) .
- ☐ **1 copy** (bound) of project specifications produced on Microsoft Word software.
- ☐ **1 CD or digital download containing**
 - ☐ All drawings in AutoCAD and pdf format
 - ☐ All specifications in Microsoft Word and pdf format
 - ☐ Narrative report in pdf format
 - ☐ Electronic copy of cost estimate
 - ☐ PG-18-15, Volume C checklists, completed and signed
 - ☐ Design review checklists, completed and signed.
 - ☐ Checklist of all submittals, certifications, tests, and inspections in an Excel spreadsheet format.
 - ☐ All design related calculations.

Attachment A

VA Information Security Requirements

GENERAL

Contractors, contractor personnel, subcontractors, and subcontractor personnel shall be subject to the same Federal laws, regulations, standards, and VA Directives and Handbooks as VA and VA personnel regarding information and information system security.

ACCESS TO VA INFORMATION AND VA INFORMATION SYSTEMS

- a. A contractor/subcontractor shall request logical (technical) or physical access to VA information and VA information systems for their employees, subcontractors, and affiliates only to the extent necessary to perform the services specified in the contract, agreement, or taskorder.
- b. All contractors, subcontractors, and third-party servicers and associates working with VA information are subject to the same investigative requirements as those of VA appointees or employees who have access to the same types of information. The level and process of background security investigations for contractors must be in accordance with VA Directive and Handbook 0710, Personnel Suitability and Security Program. The Office for Operations, Security, and Preparedness is responsible for these policies and procedures.
- c. Contract personnel who require access to national security programs must have a valid security clearance. National Industrial Security Program (NISP) was established by Executive Order 12829 to ensure that cleared U.S. defense industry contract personnel safeguard the classified information in their possession while performing work on contracts, programs, bids, or research and development efforts. The Department of Veterans Affairs does not have a Memorandum of Agreement with Defense Security Service (DSS). Verification of a Security Clearance must be processed through the Special Security Officer located in the Planning and National Security Service within the Office of Operations, Security, and Preparedness.
- d. Custom software development and outsourced operations must be located in the U.S. to the maximum extent practical. If such services are proposed to be performed abroad and are not disallowed by other VA policy or mandates, the contractor/subcontractor must state where all non-U.S. services are provided and detail a security plan, deemed to be acceptable by VA, specifically to address mitigation of the resulting problems of communication, control, data protection, and so forth. Location within the U.S. may be an evaluation factor.
- e. The contractor or subcontractor must notify the Contracting Officer immediately when an employee working on a VA system or with access to VA information is reassigned or leaves the contractor or subcontractor's employ. The Contracting Officer must also be notified immediately by the contractor or subcontractor prior to an unfriendly termination.

VA INFORMATION CUSTODIAL LANGUAGE

- a. Information made available to the contractor or subcontractor by VA for the performance or administration of this contract or information developed by the contractor/subcontractor in performance or administration of the contract shall be used only for those purposes and shall not be used in any other way without the prior written agreement of the VA. This clause expressly limits the contractor/subcontractor's rights to use data as described in Rights in Data - General, FAR 52.227-14(d) (1).

- b. VA information should not be co-mingled, if possible, with any other data on the contractors/subcontractor's information systems or media storage systems in order to ensure VA requirements related to data protection and media sanitization can be met. If co-mingling must be allowed to meet the requirements of the business need, the contractor must ensure that VA's information is returned to the VA or destroyed in accordance with VA's sanitization requirements. VA reserves the right to conduct on site inspections of contractor and subcontractor IT resources to ensure data security controls, separation of data and job duties, and destruction/media sanitization procedures are in compliance with VA directive requirements.
- c. Prior to termination or completion of this contract, contractor/subcontractor must not destroy information received from VA, or gathered/created by the contractor in the course of performing this contract without prior written approval by the VA. Any data destruction done on behalf of VA by a contractor/subcontractor must be done in accordance with National Archives and Records Administration (NARA) requirements as outlined in VA Directive 6300, Records and Information Management and its Handbook 6300.1 Records Management Procedures, applicable VA Records Control Schedules, and VA Handbook 6500.1, Electronic Media Sanitization. Self-certification by the contractor that the data destruction requirements above have been met must be sent to the VA Contracting Officer within 30 days of termination of the contract.
- d. The contractor/subcontractor must receive, gather, store, back up, maintain, use, disclose and dispose of VA information only in compliance with the terms of the contract and applicable Federal and VA information confidentiality and security laws, regulations and policies. If Federal or VA information confidentiality and security laws, regulations and policies become applicable to the VA information or information systems after execution of the contract, or if NIST issues or updates applicable FIPS or Special Publications (SP) after execution of this contract, the parties agree to negotiate in good faith to implement the information confidentiality and security laws, regulations and policies in this contract.
- e. The contractor/subcontractor shall not make copies of VA information except as authorized and necessary to perform the terms of the agreement or to preserve electronic information stored on contractor/subcontractor electronic storage media for restoration in case any electronic equipment or data used by the contractor/subcontractor needs to be restored to an operating state. If copies are made for restoration purposes, after the restoration is complete, the copies must be appropriately destroyed.
- f. If VA determines that the contractor has violated any of the information confidentiality, privacy, and security provisions of the contract, it shall be sufficient grounds for VA to withhold payment to the contractor or third party or terminate the contract for default or terminate for cause under Federal Acquisition Regulation (FAR) part 12.
- g. If a VHA contract is terminated for cause, the associated BAA must also be terminated and appropriate actions taken in accordance with VHA Handbook 1600.01, Business Associate Agreements. Absent an agreement to use or disclose protected health information, there is no business associate relationship.
- h. The contractor/subcontractor must store, transport, or transmit VA sensitive information in an encrypted form, using VA-approved encryption tools that are, at a minimum, FIPS 140-2 validated.

- i. The contractor/subcontractor's firewall and Web services security controls, if applicable, shall meet or exceed VA's minimum requirements. VA Configuration Guidelines are available upon request.
- j. Except for uses and disclosures of VA information authorized by this contract for performance of the contract, the contractor/subcontractor may use and disclose VA information only in two other situations: (i) in response to a qualifying order of a court of competent jurisdiction, or (ii) with VA's prior written approval. The contractor/subcontractor must refer all requests for, demands for production of, or inquiries about, VA information and information systems to the VA contracting officer for response.
- k. Notwithstanding the provision above, the contractor/subcontractor shall not release VA records protected by Title 38 U.S.C. 5705, confidentiality of medical quality assurance records and/or Title 38 U.S.C. 7332, confidentiality of certain health records pertaining to drug addiction, sickle cell anemia, alcoholism or alcohol abuse, or infection with human immunodeficiency virus. If the contractor/subcontractor is in receipt of a court order or other requests for the above-mentioned information, that contractor/subcontractor shall immediately refer such court orders or other requests to the VA contracting officer for response.
- l. For service that involves the storage, generating, transmitting, or exchanging of VA sensitive information but does not require C&A or an MOU-ISA for system interconnection, the contractor/subcontractor must complete a Contractor Security Control Assessment (CSCA) on a yearly basis and provide it to the COTR.

SECURITY INCIDENT INVESTIGATION

- a. The term "security incident" means an event that has, or could have, resulted in unauthorized access to, loss or damage to VA assets, or sensitive information, or an action that breaches VA security procedures. The contractor/subcontractor shall immediately notify the COTR and simultaneously, the designated ISO and Privacy Officer for the contract of any known or suspected security/privacy incidents, or any unauthorized disclosure of sensitive information, including that contained in system(s) to which the contractor/subcontractor has access.
- b. To the extent known by the contractor/subcontractor, the contractor/subcontractor's notice to VA shall identify the information involved, the circumstances surrounding the incident (including to whom, how, when, and where the VA information or assets were placed at risk or compromised), and any other information that the contractor/subcontractor considers relevant.
- c. With respect to unsecured protected health information, the business associate is deemed to have discovered a data breach when the business associate knew or should have known of a breach of such information. Upon discovery, the business associate must notify the covered entity of the breach. Notifications need to be made in accordance with the executed business associate agreement.
- d. In instances of theft or break-in or other criminal activity, the contractor/subcontractor must concurrently report the incident to the appropriate law enforcement entity (or entities) of jurisdiction, including the VA OIG and Security and Law Enforcement. The contractor, its employees, and its subcontractors and their employees shall cooperate with VA and any law enforcement authority responsible for the investigation and prosecution of any possible criminal law violation(s) associated with any incident. The contractor/subcontractor shall cooperate with VA in any civil litigation to recover VA information, obtain monetary or other compensation from a third party for damages arising from any incident, or obtain injunctive relief against any third party arising from, or related to, the incident.

LIQUIDATED DAMAGES FOR DATA BREACH

- a. Consistent with the requirements of 38 U.S.C. §5725, a contract may require access to sensitive personal information. If so, the contractor is liable to VA for liquidated damages in the event of a data

breach or privacy incident involving any SPI the contractor/subcontractor processes or maintains under this contract.

b. The contractor/subcontractor shall provide notice to VA of a “security incident” as set forth in the Security Incident Investigation section above. Upon such notification, VA must secure from a non-Department entity or the VA Office of Inspector General an independent risk analysis of the data breach to determine the level of risk associated with the data breach for the potential misuse of any sensitive personal information involved in the data breach. The term 'data breach' means the loss, theft, or other unauthorized access, or any access other than that incidental to the scope of employment, to data containing sensitive personal information, in electronic or printed form, that results in the potential compromise of the confidentiality or integrity of the data. Contractor shall fully cooperate with the entity performing the risk analysis. Failure to cooperate may be deemed a material breach and grounds for contract termination.

c. Each risk analysis shall address all relevant information concerning the data breach, including the following:

- (1) Nature of the event (loss, theft, unauthorized access);
- (2) Description of the event, including:
 - (a) date of occurrence;
 - (b) data elements involved, including any PII, such as full name, social security number, date of birth, home address, account number, disability code;
- (3) Number of individuals affected or potentially affected;
- (4) Names of individuals or groups affected or potentially affected;
- (5) Ease of logical data access to the lost, stolen or improperly accessed data in light of the degree of protection for the data, e.g., unencrypted, plain text;
- (6) Amount of time the data has been out of VA control;
- (7) The likelihood that the sensitive personal information will or has been compromised (made accessible to and usable by unauthorized persons);
- (8) Known misuses of data containing sensitive personal information, if any;
- (9) Assessment of the potential harm to the affected individuals;
- (10) Data breach analysis as outlined in 6500.2 Handbook, Management of Security and Privacy Incidents, as appropriate; and
- (11) Whether credit protection services may assist record subjects in avoiding or mitigating the results of identity theft based on the sensitive personal information that may have been compromised.

d. Based on the determinations of the independent risk analysis, the contractor shall be responsible for paying to the VA liquidated damages in the amount of \$ per affected individual to cover the cost of providing credit protection services to affected individuals consisting of the following:

- (1) Notification;
- (2) One year of credit monitoring services consisting of automatic daily monitoring of at least 3 relevant credit bureau reports;
- (3) Data breach analysis;
- (4) Fraud resolution services, including writing dispute letters, initiating fraud alerts and credit freezes, to assist affected individuals to bring matters to resolution;
- (5) One year of identity theft insurance with \$20,000.00 coverage at \$0 deductible; and
- (6) Necessary legal expenses the subjects may incur to repair falsified or damaged credit records, histories, or financial affairs.

SECURITY CONTROLS COMPLIANCE TESTING

On a periodic basis, VA, including the Office of Inspector General, reserves the right to evaluate any or all of the security controls and privacy practices implemented by the contractor under the clauses contained within the contract. With 10 working-day's notice, at the request of the government, the contractor must fully cooperate and assist in a government-sponsored security controls assessment at each location wherein VA information is processed or stored, or information systems are developed, operated, maintained, or used on behalf of VA, including those initiated by the Office of Inspector General. The government may conduct a security control assessment on shorter notice (to include unannounced assessments) as determined by VA in the event of a security incident or at any other time.

TRAINING

a. All contractor employees and subcontractor employees requiring access to VA information and VA information systems shall complete the following before being granted access to VA information and its systems:

(1) Sign and acknowledge (either manually or electronically) understanding of and responsibilities for compliance with the Contractor Rules of Behavior, Appendix E relating to access to VA information and information systems;

(2) Successfully complete the VA Cyber Security Awareness and Rules of Behavior training and annually complete required security training;

(3) Successfully complete the appropriate VA privacy training and annually complete required privacy training; and

(4) Successfully complete any additional cyber security or privacy training, as required for VA personnel with equivalent information system access [to be defined by the VA program official and provided to the contracting officer for inclusion in the solicitation document – e.g., any role-based information security training required in accordance with NIST Special Publication 800-16, Information Technology Security Training Requirements.]

b. The contractor shall provide to the contracting officer and/or the COTR a copy of the training certificates and certification of signing the Contractor Rules of Behavior for each applicable employee within 1 week of the initiation of the contract and annually thereafter, as required.

c. Failure to complete the mandatory annual training and sign the Rules of Behavior annually, within the timeframe required, is grounds for suspension or termination of all physical or electronic access privileges and removal from work on the contract until such time as the training and documents are complete

FRAUD, WASTE, AND ABUSE

The vendor has responsibility for "Duty to Report" any fraud, waste and abuse witnessed while on VA premises to the Integrity and Compliance Officer.